

Tesla, Inc.
Consolidated Statements of Operations
(in millions, except per share data)
(unaudited)

	Three Months Ended June 30,		Six Months Ended June 30,	
	2025	2024	2025	2024
Revenues				
Automotive sales	\$ 15,787	\$ 18,530	\$ 28,712	\$ 34,990
Automotive regulatory credits	439	890	1,034	1,332
Automotive leasing	435	458	882	934
Total automotive revenues	16,661	19,878	30,628	37,256
Energy generation and storage	2,789	3,014	5,519	4,649
Services and other	3,046	2,608	5,684	4,896
Total revenues	22,496	25,500	41,831	46,801
Cost of revenues				
Automotive sales	13,567	15,962	25,028	29,859
Automotive leasing	228	245	467	514
Total automotive cost of revenues	13,795	16,207	25,495	30,373
Energy generation and storage	1,943	2,274	3,888	3,506
Services and other	2,880	2,441	5,417	4,648
Total cost of revenues	18,618	20,922	34,800	38,527
Gross profit	3,878	4,578	7,031	8,274
Operating expenses				
Research and development	1,589	1,074	2,998	2,225
Selling, general and administrative	1,366	1,277	2,617	2,651
Restructuring and other	—	622	94	622
Total operating expenses	2,955	2,973	5,709	5,498
Income from operations	923	1,605	1,322	2,776
Interest income	392	348	792	698
Interest expense	(86)	(86)	(177)	(162)
Other income (expense), net	320	(80)	201	363
Income before income taxes	1,549	1,787	2,138	3,675
Provision for income taxes	359	371	528	854
Net income	1,190	1,416	1,610	2,821
Net income attributable to noncontrolling interests and redeemable noncontrolling interests in subsidiaries	18	16	29	31
Net income attributable to common stockholders	\$ 1,172	\$ 1,400	\$ 1,581	\$ 2,790
Net income per share of common stock attributable to common stockholders				
Basic	\$ 0.36	\$ 0.44	\$ 0.49	\$ 0.89
Diluted	\$ 0.33	\$ 0.40	\$ 0.45	\$ 0.81
Weighted average shares used in computing net income per share of common stock				
Basic	3,223	3,191	3,220	3,189
Diluted	3,519	3,481	3,520	3,483

The accompanying notes are an integral part of these consolidated financial statements.

Energy Generation and Storage Segment

Energy Generation and Storage Sales

We record as deferred revenue any non-refundable amounts that are primarily related to prepayments from customers, which is recognized as revenue as or when the performance obligations are satisfied. As of June 30, 2025 and December 31, 2024, deferred revenue related to such customer payments amounted to \$2.10 billion and \$1.77 billion, respectively, mainly due to contractual payment terms. Revenue recognized from the deferred revenue balances as of December 31, 2024 and 2023 was \$944 million and \$873 million for the six months ended June 30, 2025 and 2024, respectively. We have elected the practical expedient to omit disclosure of the amount of the transaction price allocated to remaining performance obligations for contracts with an original expected contract length of one year or less. As of June 30, 2025, total transaction price allocated to performance obligations that were unsatisfied or partially unsatisfied for contracts with an original expected length of more than one year was \$10.38 billion. Of this amount, we expect to recognize \$5.47 billion in the next 12 months and the rest over the remaining performance obligation period. Changes in government and economic incentives or tariffs may impact the transaction price or our ability to execute these existing contracts.

We have financing receivables on our consolidated balance sheets related to loans we provide for financing our energy products. As of June 30, 2025 and December 31, 2024, we had current net financing receivables of \$35 million and \$34 million, respectively, in Accounts receivable, net, and \$684 million and \$658 million, respectively, in Other non-current assets for the long-term portion.

Income Taxes

We are subject to income taxes in the U.S. and in many foreign jurisdictions. Significant judgment is required in determining our provision for income taxes, our deferred tax assets and liabilities and any valuation allowance recorded against our net deferred tax assets that are not more likely than not to be realized. We monitor the realizability of our deferred tax assets taking into account all relevant factors at each reporting period. In completing our assessment of realizability of our deferred tax assets, we consider our history of income (loss) measured at pre-tax income (loss) adjusted for permanent book-tax differences on a jurisdictional basis, volatility in actual earnings, excess tax benefits related to stock-based compensation in recent prior years and impacts of the timing of reversal of existing temporary differences. We also rely on our assessment of the Company's projected future results of business operations, including uncertainty in future operating results relative to historical results, volatility in the market price of our common stock and its performance over time, variable macroeconomic conditions impacting our ability to forecast future taxable income, and changes in business that may affect the existence and magnitude of future taxable income. Our valuation allowance assessment is based on our best estimate of future results considering all available information.

Our provision for income taxes for interim periods is determined using an estimate of our annual effective tax rate, adjusted for discrete items, if any, that are taken into account in the relevant period. Each quarter, we update our estimate of the annual effective tax rate, and if our estimated tax rate changes, we make a cumulative adjustment.

Net Income per Share of Common Stock Attributable to Common Stockholders

The following table presents the reconciliation of net income attributable to common stockholders to net income used in computing basic and diluted net income per share of common stock (in millions):

	Three Months Ended June 30,		Six Months Ended June 30,	
	2025	2024	2025	2024
Net income attributable to common stockholders (1)	\$ 1,172	\$ 1,400	\$ 1,581	\$ 2,790
Less: Buy-outs of noncontrolling interest	—	—	—	(42)
Net income used in computing basic and diluted net income per share of common stock	\$ 1,172	\$ 1,400	\$ 1,581	\$ 2,832

- (1) As a result of the adoption of ASU No. 2023-08, *Accounting for and Disclosure of Crypto Assets*, the previously reported periods in 2024 have been recast. See *Recent Accounting Pronouncements* below for further details.